

HOUSE BILL 1523

By Stevens

AN ACT to amend Tennessee Code Annotated, Title 45,
Chapter 10, relative to financial records.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 45-10-106, is amended by deleting subdivision (1) and substituting:

(1) A copy of the subpoena has been served upon the customer, if the customer is available for service, in the manner provided by law for the service of subpoena, or, in any judicial proceeding in which the customer is a named party, a copy of the subpoena has been served on the customer in the manner provided for the service of pleadings subsequent to the original complaint by the Tennessee Rules of Civil Procedure. If a financial institution reasonably believes a customer is deceased, then the financial institution does not have a duty to confirm service of a subpoena on the customer, the customer's estate, or the customer's heirs; and

SECTION 2. Tennessee Code Annotated, Section 45-10-111, is amended by deleting the section and substituting:

The copy of the records must be delivered to the issuer in the manner and location specified in the subpoena. If the subpoena does not specify a manner of delivery, then the records must be delivered by means of any method agreed upon by the issuer and the custodian, including electronic submission. If the issuer and custodian cannot agree to the manner of delivery, then the custodian may, at its option, deliver the records to the attention of the issuer by physical delivery, U.S. mail, or by means of a delivery service. If the location of the delivery of the records is not specified in the subpoena, then the custodian shall deliver the records directly to the issuer.

SECTION 3. Tennessee Code Annotated, Section 45-10-112, is amended by deleting the section and substituting:

Upon receipt of the records, the issuer shall retain the records in a secure and confidential manner, and shall not disclose any of the records except to such persons or entities entitled to view the records in connection with the proceeding under which the subpoena was issued.

SECTION 4. This act takes effect July 1, 2026, the public welfare requiring it.